PHINS — Global Reinsurer Group CEO Assessment (7 November 2026) · Risk appetite, InsurTech openness and venture exposure

Internal · Confidential. A planning exercise written from the seat of the Group CEO of a global reinsurance group, answering a regional CEO who has escalated PHINS as a strategic opportunity. It sets the measures of risk appetite, and of InsurTech openness and venture exposure, that such a group would apply to long-term disability, long-term care and savings solutions, and it assesses PHINS against them with every option kept on the table. No reinsurer has been approached, none is named as a counterparty, and nothing here is a term. The only counterparty on a treaty is the licensed carrier of record; PHINS is the technology and the administrator.

Memo facts

Item	Detail
Date	Saturday 7 November 2026
Format	Group CEO memorandum answering a regional CEO's escalation (role exercise)
From	Group CEO — global reinsurance group (a seat, not a person)
To	Regional CEO who raised PHINS
Subject	PHINS — strategic opportunity: risk appetite, InsurTech openness and venture exposure for long-term disability, long-term care and savings
Decision requested	Whether the region may engage, on which rails, within which measures, and what stays reserved to Group
PHINS-side counterparties	Licensed carrier of record (treaty) · PHINS Technologies (venture, administration)
Lineage	Techno Yes — the reinsurer loop (`#techno-yes-section`) · Unified plan Appendix B, carrier and reinsurance view · Partner Meetings 13 July 2026, Meeting B (insurer orientation, `#partner-meetings-13jul`)
One standard	Unified Business Plan · Investor Deck · Appendices (`#unified-business-plan-card`)
Status	Assessment on file · no approach made
Pack	Pitch dashboard — Reinsurer CEO assessment section

Decision in one paragraph. Keep all options on the table. The region may sign the NDA, open the data room and run technical due diligence on the carrier-of-record structure and the pricing kernel; it may give a non-binding indication on the quota share the plan already assumes (18% cession, 25% ceding commission) with the experience-rating features set out below; it may not bind capacity before the Israeli filing is accepted and the carrier of record is named, and it may not link a venture ticket to a cession. A venture participation, if any, sits inside the ILS 6,000,000 seed on ILS 24,000,000 pre-money — there is no reinsurer round and no side price. Group Risk sets the limits; this memo sets the measures.

What the regional CEO has put on the table

- **The contract.** Life insurance with a lifelong severe-disability mechanism: face ILS 1,000,000, disability ILS 250,000 below 65 (1:4), 1:1 on the reduced sum from 65, trigger permanent loss of three or more activities of daily living. Price at the age-42 specimen **ILS 4,518** a year (ILS 376.50 a month: 313.75 life + 62.75 disability, age factor 1.255, published tables 0.25 / 0.20 per ILS 1,000 monthly). Draft 3.1. Not approved for sale. Pre-ruling track opened 12 October 2026; sales from 1 January 2027 only after Gate 5.
- **The structure.** Carried by a licensed insurer, reinsured by quota share from day one, distributed with a local partner; PHINS is the technology at a 25% take, the carrier keeps 75%. The savings add-on (30% election × 3.0× at default) is a separately licensed flow, never split with the carrier or the reinsurer.
- **The book.** Israel in-force **24,000 / 94,080 / 230,554** (2027 / 2028 / 2029) and 471,621 by 2031; risk GWP ₪54.2M → ₪733.3M → ₪1.87B; PHINS net **ILS 13,554,000 / 66,685,680 / 183,337,052**. Ten markets on one platform by 2031; group risk GWP ₪3.75B ($1.02B at the planning FX of 3.68); group PHINS revenue ₪749.1M ($203.6M) at a 57% EBITDA margin.
- **The round.** Seed **ILS 6,000,000 on ILS 24,000,000 pre-money** (ILS 30,000,000 post, 20%). 2027 burn ₪18.8M; peak cumulative need ₪20.2M; Series A indication ₪18.0M (2028). Actuarial appraisal ₪264.6M (35% WACC, 4.0× 2029 net revenue, 15% prudence); the ask is 9% of it. Use of seed: ILS 1,200,000 (20%) for regulatory, actuarial and reinsurance.
- **The reinsurer's line in their own plan is a placeholder.** Expected claims 62%, cession 18%, ceding commission 25%, carrier own expenses 5% are factor-register defaults "to be replaced by the carrier's and the reinsurer's term sheets" (Appendix I). That is the right posture for a counterparty to meet.

What a reinsurer actually sees — the ceded line (Israel anchor book, default factors)

Year	Risk GWP	Ceded premium (18%)	Ceded claims (62% × 18%)	Ceding commission (25%)	Reinsurer technical result	Result in USD (planning FX)
2027	₪54.2M	₪9.8M	₪6.1M	₪2.4M	₪1.3M	$0.3M
2028	₪266.7M	₪48.0M	₪29.8M	₪12.0M	₪6.2M	$1.7M
2029	₪733.3M	₪132.0M	₪81.8M	₪33.0M	₪17.2M	$4.7M
2030	₪1.33B	₪238.5M	₪147.9M	₪59.6M	₪31.0M	$8.4M
2031	₪1.87B	₪336.6M	₪208.7M	₪84.1M	₪43.8M	$11.9M
Five years	₪4.25B	₪764.9M	₪474.2M	₪191.2M	₪99.4M	$27.0M

- **Technical margin.** 13 points of ceded premium at the defaults (1 – 62% – 25%), every year. The break-even expected claims ratio at a 25% ceding commission is 75%. At the factor register's ceiling of 95% the result is –20 points of ceded premium. The carrier keeps 5.7% of GWP every year on the same defaults.
- **Five-year ceded premium** ₪764.9M ($207.9M at the planning FX). It is a growth line, not a volume line: ₪9.8M in the first year.
- **Group envelope.** If the same default cession sits behind every carrier, 18% of group risk GWP is ₪9.8M / ₪52.9M / ₪165.8M / ₪367.2M / ₪674.5M for 2027–2031 ($183.3M in 2031). That is arithmetic on the plan's group GWP row at the default factor; the plan's carrier view covers the Israel anchor book only, and partner-market treaties are not modelled.
- **What the reinsurer does not see.** No savings guarantee and no interest-rate guarantee: the savings flow (₪660.0M in Israel in 2029, ₪3.37B across the group in 2031) is outside risk GWP and is never split. The benefit is a lump sum with a fixed sum at risk per life, not a lifetime care annuity.

Risk appetite — the measures the group applies

Measure	What we measure	PHINS at the canonical defaults	Appetite reading
Trigger objectivity	Definition class (own occupation, any occupation, ADL count, cognitive) and permanence	Permanent loss of 3+ ADL; 1:4 below 65, 1:1 from 65	Inside appetite. An objective severity trigger is the class the market now quotes; hybrids were 67% of 2024 LTC sales (LIMRA, reported).
Benefit form and tail	Lump sum against lifetime annuity; maximum sum at risk per life; indexation	Lump sum ILS 250,000 below 65; 1:1 on the reduced sum from 65; face ILS 1,000,000; no daily benefit, no indexation in the kernel	Bounded tail. Sum at risk per life is a fixed number; the appetite measure is aggregate ceded sum at risk per market, and Group Risk sets the cap.
Pricing basis and repricing	Source of the rates; who may reprice; evidence review	Published risk_reference_v1 tables (0.25 / 0.20 per ILS 1,000 monthly, age factor 1.255 at 42); one pricing kernel; Appointed Actuary review at Gate 6	Acceptable for a new book only with a repricing right at each gate and a sliding-scale ceding commission.
Expected claims ratio	Planning ratio, corridor, break-even	62% at default; factor range 20–95%; break-even 75% at a 25% commission	Thirteen points of margin. The measure is the corridor, not the point estimate; no experience exists yet.
Persistency and lapse	First-year and renewal persistency; lapse-supported or lapse-exposed	96% first-year, 92% renewal (8% churn); pure risk, annually priced	Low lapse sensitivity for the treaty. Persistency is measured against the plan at Gate 7 (24,000 in force).
Interest-rate and savings guarantees	Guaranteed rates; duration mismatch; who carries the savings	Savings is a separately licensed flow (30% × 3.0×); never split with carrier or reinsurer	Zero guarantee exposure on the treaty. Exposure to the savings economics only through equity; keep it that way.
Concentration	Share of our long-term disability and care capacity in one market or one carrier	100% Israel until 2028; 10 markets by 2031; anchor ceded premium ₪9.8M → ₪336.6M	Measured per carrier and per market; the group envelope above is the upper bound.
Model and AI risk	Explainability; human decision; audit trail; regulatory class	Agents recommend, humans decide; every recommendation in `ai_decision_log` with rule and model scores; thresholds promoted only through an audited step; golden sets gate CI. The EU AI Act classes life and health pricing as high-risk with obligations by 2 December 2027 (reported)	Inside appetite with audit rights to the decision log and bordereaux carrying evidence provenance.
Counterparty and operations	Who is on the paper; administrator continuity; step-in	Carrier of record carries the paper; PHINS administers; 2027 burn ₪18.8M; runway on the seed 3.8 months at that burn; Series A ₪18.0M	Treaty with the carrier. PHINS named administrator with transition and step-in clauses. A PHINS funding gap is an operational risk to the treaty, not a credit risk.
Regulatory timing	Filing status; sale date	Pre-ruling opened 12 October 2026; sales only after Gate 5 on 1 January 2027; not approved for sale	No capacity bound before the filing is accepted and the carrier is named.

Measure	What we measure	PHINS at the canonical defaults	Appetite reading
Data integrity	One source of figures; reproducibility	Plan identity `unified-2026.10-v1`; content hash `9128223e1c222388…`; all identities hold	Inside appetite. The live measure is whether the carrier's bordereaux reconcile to the same hash-chained ledger.

InsurTech openness and venture exposure — the measures

- **Three rails, never linked.** Capacity (treaty), venture (equity) and services (carrier introductions, placement, data) are priced on their own. No cession is priced for an equity ticket and no equity is priced for a cession. A linked price is the measure of a bad deal.
- **Venture exposure is bounded by the round.** Seed ILS 6,000,000 on ILS 24,000,000 pre-money; a participation is inside that seed at the same price as every other investor, with no reinsurer round, no side price and no control sought at seed. The Series A indication of ₪18.0M (2028) is the second entry point and is decided at Gate 7 on data, not on the pitch. The measures are the ticket as a share of the venture sleeve (Group), ownership kept below the level that would make PHINS an affiliate for cession purposes (Group), and information rights: data room, decision-log access, quarterly experience against the 62% planning ratio.
- **Openness, read from the reported record** (Techno Yes registry on the pitch dashboard, each with its source label): Munich Re / ERGO acquired NEXT Insurance for US$2.6B (1 July 2025) and At-Bay for US$575M through HSB (August 2026); Fortitude Re took Dayforward's technology platform (September 2026) with the insurance entities excluded; Hannover Re funds Lemonade's growth with a US$250M facility; Munich Re reinsures Ethos (IPO 30 January 2026, 95% of applications instantly underwritten); Swiss Re wound down iptiQ, its own B2B2C digital carrier. The pattern: reinsurers partner, fund and buy the MGA; they do not run the retail brand. PHINS as the technology and MGA layer on a carrier's paper fits the pattern; PHINS as a reinsurer subsidiary would not.
- **The acquirable unit, if ever, is the administered book with its telemetry.** The hash-chained ledger, evidence provenance on every fact and the one-writer identity master are the analogue of the telemetry a reinsurer paid for at At-Bay. An option on that is bought with the information rights above, not with capacity.

Options — all on the table

Option	What it is	What it needs from PHINS	What it needs from us	Earliest gate	Keep open
A. Quota-share capacity behind the Israel carrier	The treaty the plan already assumes — 18% cession, 25% ceding commission — experience-rated: sliding-scale commission, loss corridor, profit commission, repricing right at each gate	Named carrier of record; accepted filing; kernel repricing right; bordereaux from the ledger	Non-binding indication now; binding only after the filing	Term sheet Q4 2026 (the plan's own gate); bound at Gate 5	Yes
B. Lead reinsurer and technical partner across the 10 markets	One treaty wording behind each local carrier (Solvency II and equivalents); experience pooled across markets	A partner carrier per market; the same kernel and ledger everywhere	Group Risk limits per market; local entities	First partner market, 2028	Yes

Option	What it is	What it needs from PHINS	What it needs from us	Earliest gate	Keep open
C. Strategic minority inside the seed	A ticket inside ILS 6,000,000 on ILS 24,000,000 pre-money; information rights; no linked cession	Same seed, same price as every other investor	Venture-sleeve decision at Group	Seed close, Q4 2026	Yes
D. Series A anchor option	Participation in the ₪18.0M indication (2028), decided on Gate 7 data	24,000 in force; Appointed Actuary review; experience against 62%	Group venture committee	2028	Yes
E. Carrier introductions and fronting bridge	Introducing client carriers in partner markets; no retail brand of our own	The regulatory pathway per market (Appendix C)	Our client relationships; no capital	2027 onward	Yes
F. Data access only	Bordereaux-level view and decision-log audit; no capital	NDA; data room	A technical team	Now	Yes
G. Pass	Decline capacity and equity; keep the file	Nothing	Nothing	—	Yes — under the conditions below

Delegation to the region — what the regional CEO may do at his discretion

- **Without Group.** Sign the NDA; open the data room; run technical due diligence (kernel, ledger, decision log, golden sets, identity contract); attend the Appointed Actuary review at Gate 6; give a non-binding capacity indication on the plan's own 18% / 25% defaults with the experience-rating features named above; introduce client carriers in the region.
- **With Group Risk.** Bind any capacity; set the cession, commission, corridor and aggregate sum-at-risk limits; approve any multi-market wording.
- **With Group (venture committee).** Any equity ticket, at seed or Series A; any board or observer seat; any exclusivity.
- **Never.** A linked price; a reinsurer-run retail brand; capacity before the filing is accepted; any commitment on the savings flow.

Conditions under which we would pass

- The filing is not accepted, or a jurisdiction requires a different carrier structure and it is not cured.
- The carrier of record is not named, or will not grant audit rights to the decision log and to bordereaux reconciled to the ledger.
- The experience at Gate 6 (first 1,000 policies) or Gate 7 (24,000 in force) is not reviewed by an Appointed Actuary against the kernel.
- A linked price is requested.

Due diligence asks on PHINS — the regional team's checklist

- **Pricing.** `services/pricing_kernel.py` as the one writer; the published risk_reference_v1 tables; the integrity hash on every quote; the repricing path through the one writer.
- **Governance.** `ai_decision_log` entries for underwriting and claims recommendations with rule score, model score and divergence; audited threshold promotion with before and after snapshots; golden sets gating CI.

- **Integrity.** The hash-chained platform ledger; the plan's content hash; the Appendix E identities, all holding.
- **Identity and privacy.** One writer for the national ID; records carry hash and last-4 only; the number never returned.
- **Regulatory.** The pre-ruling record of 12 October 2026; Draft 3.1; the Gate 5 conditions; the regulatory pathway per partner market (Appendix C).
- **Capital.** Seed close; 2027 burn ₪18.8M; Series A ₪18.0M; use of seed with ILS 1,200,000 (20%) for regulatory, actuarial and reinsurance.

The one standard this assessment addresses

Piece	Address
Unified business plan	Open the unified plan (/business-plan.html)
Investor deck	Open the investor deck (/business-plan.html#part-deck)
Appendices A–I (B is the carrier and reinsurance view)	Open appendices (/business-plan.html#part-appendices)
Pitch-dashboard bar	Unified Business Plan bar (/pitch-dashboard.html#unified-business-plan-card)
Reinsurer loop and reported comparables	Techno Yes section (/pitch-dashboard.html#techno-yes-section)
Earlier bar	Partner Meetings 13 July, Meeting B (/pitch-dashboard.html#partner-meetings-13jul)
Plan identity	`unified-2026.10-v1`

Data integrity

Every PHINS figure in this memo is a canonical default of plan identity `unified-2026.10-v1` (content hash `9128223e1c2223881e0eca64ae6922654b79d52bb2eed151beb726f3c4c1589f`). Israel anchor, 2027 / 2028 / 2029: annual risk premium ILS 4,518; PHINS take 25% and carrier share 75%; end-of-year in-force 24,000 / 94,080 / 230,554; average in-force 12,000 / 59,040 / 162,317; risk GWP ILS 54,216,000 / 266,742,720 / 733,348,206; PHINS net revenue ILS 13,554,000 / 66,685,680 / 183,337,052. Checks: 12,000 × 4,518 = 54,216,000; 59,040 × 4,518 = 266,742,720; 162,317 × 4,518 = 733,348,206. Ceded line at the default factors (cession 18%, expected claims 62%, ceding commission 25%): 2027 ceded premium 54,216,000 × 0.18 = ILS 9,758,880; ceding commission 9,758,880 × 0.25 = ILS 2,439,720; ceded claims 54,216,000 × 0.62 × 0.18 = ILS 6,050,505.60; reinsurer technical result 9,758,880 – 6,050,505.60 – 2,439,720 = ILS 1,268,654.40, which is 13% of ceded premium (1 – 0.62 – 0.25). 2029 ceded premium 733,348,206 × 0.18 = ILS 132,002,677.08. Break-even expected claims ratio 1 – 0.25 = 75%. Ceded plus retained premium equals risk GWP every year. The group envelope is group risk GWP × 0.18 and is labelled as arithmetic, not a model row. Seed ILS 6,000,000; pre-money ILS 24,000,000; post-money ILS 30,000,000; Series A indication ILS 18,000,000. Market facts about other companies are quoted from the pitch dashboard's Techno Yes registry with their source labels and are reported, not verified here. No reinsurer limit, cap, ticket or price is set in this memo; those are Group decisions. These are planning assumptions, not commitments. This memo does not write the platform ledger.